5. Who is considered to be the internal user of the financial information?

(a) Creditor (b) Employee (c) Customer (d) Government

Answers

1 (b)	2 (d)	3 (d)	4 (c)	5 (b)

II Very short answer questions

1. Define accounting.
2. List any two functions of accounting.
3. What are the steps involved in the process of accounting?
4. Who are the parties interested in accounting information?
5. Name any two bases of recording accounting information.

III Short answer questions

1. Explain the meaning of accounting.
2. Discuss briefly the branches of accounting.
3. Discuss in detail the importance of accounting.
4. Why are the following parties interested in accounting information?

   (a) Investors (b) Government
5. Discuss the role of an accountant in the modern business world.

CASE STUDY

A Self-Help Group (SHG) is an informal, self-managed voluntary group of 5-20 individuals, who come together to address their common problems and are generally engaged in credit and savings activities operating on principles of mutuality and solidarity. Most SHG members are minimally educated. Regardless, every SHG should be aware of the status of its outstanding loans to members, the status of its loans from external institutions and the member payments due. Book-keeping is a difficult task for SHGs.

Now, discuss on the following points:

How do SHGs maintain their accounting?

Do you think that financial accounting system is suitable for all businesses?

To explore further

Can each business unit follow its own way for maintaining accounting records?
Will it serve the requirements of different users of accounting information?

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Accountancy - Unit-01.indd 13 12/12/2021 6:12:35 PM